

market cap rise over the study period—October 2023 to September 2024—they moved down in the ranking. HDFC Life dropped to No. 55 this year from No. 41 last year, while ICICI Prudential fell to No. 98 from No. 74. SBI Life also slipped from rank 42 last year to 51 this time around.

## LIFE STORY

The beginning of 2023 was challenging for the life insurance industry. That was largely attributed to the introduction of taxes on non-unit-linked insurance policies (non-ULIP) with premiums above ₹5 lakh in the Union Budget 2023.

According to the new tax norms, for all policies issued after April 1, 2023, proceeds from non-ULIP policies exceeding the ₹5 lakh threshold are considered part of the policyholder's income and are subject to taxation at applicable rates. This led many high-networth individuals and families to reconsider their investments in large insurance policies.

That forced insurers to revise their product mixes. Many shifted towards ULIPs to maintain growth and expand market share, especially as ULIPs became popular with investors looking to capitalise on buoyant equity markets.

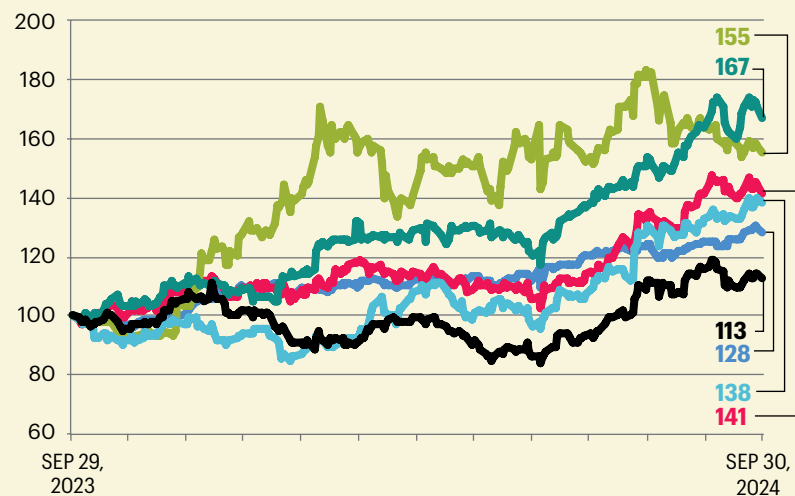
Niraj Shah, Executive Director and Chief Financial Officer of HDFC Life, emphasises the need for a balanced approach to product diversification. "A diversified product mix and distribution strategy, along with ongoing product innovation and technology deployment, enable us to adapt with agility to an evolving market landscape," he says. Going ahead, the company is focussed on driving growth in value of new business (VNB) while investing in customer-centric innovations, Shah adds.

The VNB margin is a crucial metric for a life insurance company.

## LIFE LINES

➤ Public sector insurers witnessed a 100% jump in their market cap

➤ Private insurers saw a jump of 10-39% in their market cap



● BSE SENSEX ● LIC OF INDIA ● ICICI LOMBARD GENERAL INSURANCE  
● SBI LIFE INSURANCE COMPANY ● ICICI PRUDENTIAL LIFE INSURANCE COMPANY ● HDFC LIFE INSURANCE COMPANY

**NOTE** DATA INDEXED TO 100 **SOURCE** ACE EQUITY

It reflects the firm's profit margin. Calculated by dividing the VNB by the annualised premium for the year, it is akin to the profit margin in other industries.

The shift towards ULIPs has impacted VNB margins across the industry. In its latest insurance report, brokerage firm Motilal Oswal Financial Services notes a year-on-year (YoY) dip in VNB margins in the second quarter of FY25. "The rising share of ULIPs, driven by strong equity markets, and a delay in aligning non-participating product prices with declining bond yields contributed to the margin contraction," the report highlights.

Motilal Oswal also indicates a decline in the protection segment's contribution, even as ULIP contributions improved by 400-750 basis points YoY across players. The sav-



**Despite significant growth, India's insurance penetration remains relatively low**